

Fast forward to May 6, 2010: The lightning descent lasted 10 minutes, and the decline hit 9.8% at its worst. Trades, many executed in milliseconds, reached 19 billion shares.³³⁹

Despite the same technological factors driving the markets three years earlier, the perspective from the market pros (who are all too human) was very different. That is because the recent past had an outsized impact on their outlook.

Of course people see similarities to 1987 a year after the 2008–09 crash. That is the recency effect at work! This is how we are wired.

Our frame of reference is *what just occurred*. We look backward, not forwards. By over-emphasizing the recent, we believe we can avoid current danger. That strategy evolved to be effective on the savanna, where it has worked great for millions of years. In modern capital markets? Not so much...



All this human emotion distracts from good portfolio management. Maybe we would all be better off if *Star Trek*'s Mr. Spock managed our portfolios...

³³⁴ My apologies for the *Spinal Tap* reference.

³³⁵ E.S. Browning, "Exorcising Ghosts of Octobers Past: Despite Housing Slump, Crashes Such as in 1987 Likely to Stay Memories," *The Wall Street Journal* (October 15, 2007).

³³⁶ "Bernanke Believes Housing Mess Contained," *Forbes* (May 17, 2007).

³³⁷ Scott Patterson, "How the 'Flash Crash' Echoed Black Monday: May 6 Selloff Had Parallels to 1987; Electronic Trading Magnified Selling Pressure This Time," *The Wall Street Journal* (May 17, 2010).

³³⁸ Charles Duhigg, "Stock Traders Find Speed Pays, in Milliseconds," *The New York Times* (July 23, 2009).

³³⁹

In both cases, troubles first appeared in the stock futures market, precipitating a decline in the regular "cash" market. The two created a feedback loop, dragging both markets lower.